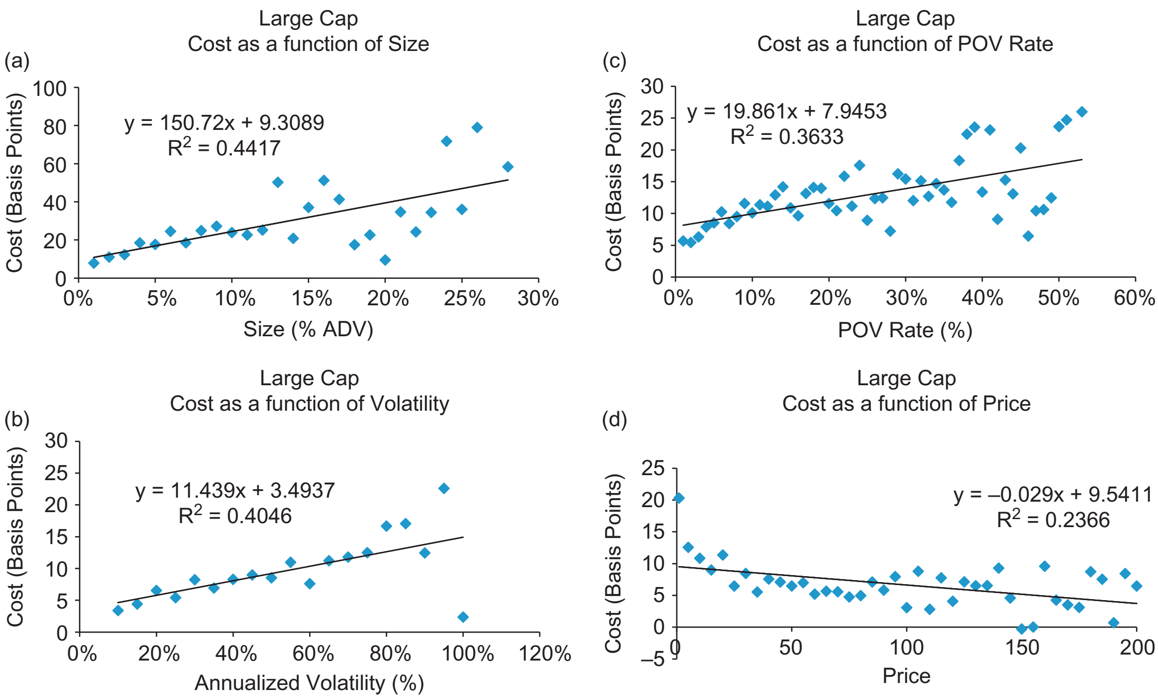

■ **Figure 5.1** Large Cap Stock Observations. (a) Large Cap Cost as a function of Size; (b) Large Cap Cost as a function of Volatility; (c) Large Cap Cost as a function of POV Rate; (d) Large Cap Cost as a function of Price.

cap stocks. Costs were positively related to size, volatility, and POV rate, and negatively related to price. The simple linear regression on the grouped data and each explanatory variable separately determined the strongest relationship for cost was with volatility ($R^2 = 0.71$). The second strongest relationship was with size ($R^2 = 0.40$). This was followed by POV rate ($R^2 = 0.39$) and then price ($R^2 = 0.12$). Similar to the large cap universe, our visual inspection of actual data shows that the relationship with small cap stocks and our variables also appears to be non-linear.

Market Cap. We analyzed the relationship between trading costs and natural log of market cap. This is shown in Figure 5.3. Here the relationship is negative—costs are lower for larger stocks as well as non-linear. Small cap stocks were more expensive to trade than large cap stocks. The relationship between trading cost and market cap was fairly strong with $R^2 = 0.70$.

Spreads. Figure 5.4 reveals costs as a function of spreads. Average spreads over the day were rounded to the nearest basis point (bp). The